08 Nov 2026 18:43:50 ET | 14 pages

Micro-Star (2377.TW)

3Q26 Preview: Margins to Stay Elevated on Cost Pass-Through; Raise TP to NT$140, Stay Neutral

CITI'S TAKE

MSI will report 3Q26 results in mid-Nov. We now expect net profit of NT$3.19bn and EPS of NT$3.77, 18% above con estimates, as 3Q26 GPM stays elevated at 15.8% vs. our previous 12.0% estimates, supported by better VGA supply and continued ASP pass-through of rising memory costs. For 4Q26E, we expect MB/VGA shipments to ease QoQ but ASPs to rise, with server contribution to further increase. Looking into 2027E, we expect PC demand to remain weak and pass-through room to narrow as memory price increases pace slows down. We raise 2026E-28E earnings by 10-57% and lift our TP to NT$140 (from NT$118; 12x 2027E EPS). We stay Neutral, with likely limited upside given uncertain PC recovery and modest server contribution.

3Q26 preview — MSI reported 3Q26 revenue of NT$56.9bn (+14% QoQ/-1% YoY), broadly in line with Citi's forecast and slightly ahead of cons. While Sep MB and VGA shipments both exceeded expectations, as VGA supply improved. With memory and other raw material prices continuing to rise and MSI able to pass costs through, we expect 3Q26 GPM to stay elevated at 15.8%, well above our previous 12.0% estimate. Assuming only a modest increase in opex ratio, we forecast net profit of NT$3.19bn (+6% QoQ/+88% YoY) and EPS of NT$3.77, 18% above cons forecasts.

Price hike continues — We expect 4Q26E shipments to decline from 3Q26's peak season. Mgmt. also indicated that Oct shipment could go down from Sep high base. However, we raise our 4Q26E pricing expectations and believe ASP should stay elevated, as memory prices keep climbing and MSI continues to pass costs through. The long-cultivated server business should also contribute higher than previous quarters. Looking into 2027, PC demand should remain weak as component costs stay high; we expect MSI's MB/VGA/PC shipments to decline by double digits, with pass-through room narrowing as the price hike pace slows down.

Implications — We raise our 2026E-28E earnings forecasts by 10-57%, reflecting sustained strong component cost pass-through. We lift our TP to NT$140 (from NT$118), implying 12x 2027E EPS (rolled over from 12x 2026E EPS). We believe the share price already reflects MSI's ability to pass costs through to end products, and we see limited upside, given that the PC demand recovery remains highly uncertain and the contribution from the new server business is still limited. Stay Neutral.

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	6,793	8.04	-9.8	17.0	2.2	13.2	3.6
2025A	5,748	6.80	-15.4	20.1	2.1	10.7	3.1
2026E	13,201	15.62	129.7	8.8	1.9	22.8	7.0
2027E	10,059	11.91	-23.8	11.5	1.8	16.2	5.0
2028E	9,292	11.00	-7.6	12.5	1.7	14.1	na

Source: Powered by dataCentral

Neutral

Price (06 Nov 26 13:30)	NT$137.00
Target price	NT$140.00↑
from NT$118.00	
Expected share price return	2.2%
Expected dividend yield	7.0%
Expected total return	9.2%
Market Cap	NT$115,745M
	US$3,531M

Price Performance
(RIC: 2377.TW, BB: 2377 TT)



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2377.TW: Fiscal year end 31-Dec						Price: NT$137.00; TP: NT$140.00; Market Cap: NT$115,745m; Recomm: Neutral					
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	197,872	230,196	224,913	226,776	227,298	PE (x)	17.0	20.1	8.8	11.5	12.5
Cost of sales	-173,677	-204,984	-189,586	-194,360	-195,846	PB (x)	2.2	2.1	1.9	1.8	1.7
Gross profit	24,195	25,213	35,327	32,415	31,451	EV/EBITDA (x)	10.6	11.9	5.3	6.1	6.3
Gross Margin (%)	12.2	11.0	15.7	14.3	13.8	FCF yield (%)	2.4	0.5	11.7	10.4	5.7
EBITDA (Adj)	**8,461**	**7,780**	**16,855**	**13,565**	**12,555**	Dividend yield (%)	3.6	3.1	7.0	5.0	na
EBITDA Margin (Adj) (%)	4.3	3.4	7.5	6.0	5.5	Payout ratio (%)	62	62	62	57	0
Depreciation	-1,344	-1,392	-1,348	-1,333	-1,333	ROE (%)	13.2	10.7	22.8	16.2	14.1
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**7,117**	**6,388**	**15,507**	**12,232**	**11,222**	EBITDA	8,461	7,780	16,855	13,565	12,555
EBIT Margin (Adj) (%)	3.6	2.8	6.9	5.4	4.9	Working capital	-2,979	-3,343	4,198	1,821	-2,834
Net interest	424	390	365	272	315	Other	-481	-465	-5,638	-2,173	-1,929
Associates	0	0	0	0	0	**Operating cashflow**	**5,001**	**3,971**	**15,414**	**13,212**	**7,792**
Non-Op/Except/Other Adj	967	246	376	113	114	Capex	-2,233	-3,448	-1,857	-1,200	-1,200
Pre-tax profit	**8,508**	**7,024**	**16,247**	**12,618**	**11,651**	Net acq/disposals	-949	1,037	-72	0	0
Tax	-1,715	-1,276	-3,047	-2,559	-2,358	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	0	0	0	0	0	**Investing cashflow**	**-3,182**	**-2,411**	**-1,929**	**-1,200**	**-1,200**
Reported net profit	**6,793**	**5,748**	**13,201**	**10,059**	**9,292**	Dividends paid	-4,562	-4,224	-3,548	-8,149	-4,075
Net Margin (%)	3.4	2.5	5.9	4.4	4.1	**Financing cashflow**	**-4,859**	**6,270**	**-7,845**	**-8,149**	**-4,075**
Core NPAT	6,793	5,748	13,201	10,059	9,292	**Net change in cash**	**-2,729**	**8,043**	**5,641**	**3,863**	**2,516**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**2,768**	**523**	**13,557**	**12,012**	**6,592**
Reported EPS ($)	8.04	6.80	15.62	11.91	11.00						
Core EPS ($)	8.04	6.80	15.62	11.91	11.00						
DPS ($)	5.00	4.20	9.65	6.79	0						
CFPS ($)	5.92	4.70	18.24	15.64	9.22						
FCFPS ($)	3.28	0.62	16.05	14.22	7.80						
BVPS ($)	62.58	64.63	72.55	74.81	80.99						
Wtd avg ord shares (m)	845	845	845	845	845						
Wtd avg diluted shares (m)	845	845	845	845	845						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	8.1	16.3	-2.3	0.8	0.2						
EBIT (Adj) (%)	-19.2	-10.2	142.7	-21.1	-8.3						
Core NPAT (%)	-9.8	-15.4	129.7	-23.8	-7.6						
Core EPS (%)	-9.8	-15.4	129.7	-23.8	-7.6						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	24,389	31,086	36,727	40,590	43,106						
Accounts receivables	23,360	26,757	32,498	27,680	30,983						
Inventory	36,858	47,765	54,379	48,684	55,540						
Net fixed & other tangibles	8,692	11,643	12,183	12,050	11,917						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	3,321	3,704	3,990	3,524	3,846						
Total assets	**96,620**	**120,955**	**139,777**	**132,529**	**145,392**						
Accounts payable	28,710	36,420	43,289	38,136	43,015						
Short-term debt	0	4,525	25	25	25						
Long-term debt	0	6,292	6,294	6,294	6,294						
Provisions & other liab	15,036	19,116	28,875	24,869	27,637						
Total liabilities	**43,746**	**66,352**	**78,483**	**69,324**	**76,971**						
Shareholders' equity	52,874	54,602	61,295	63,204	68,421						
Minority interests	0	0	0	0	0						
Total equity	**52,874**	**54,602**	**61,295**	**63,204**	**68,421**						
Net debt (Adj)	**-24,389**	**-20,269**	**-30,408**	**-34,271**	**-36,787**						
Net debt to equity (Adj) (%)	-46.1	-37.1	-49.6	-54.2	-53.8						

For definitions of the items in this table, please click here.

Figure 1. MSI - 3Q26 earnings preview

	3Q26			2Q26	QoQ	3Q25	YoY	3Q26	
(NT$ mn)	Citi est.	Previous	Diff (%)	Actual	(%)	Actual	(%)	BBG	Diff (%)
Revenue	56,946	57,481	-1%	49,913	14%	57,731	-1%	55,470	3%
Gross profits	9,015	6,899	31%	7,969	13%	6,499	39%	8,019	12%
Operating profits	3,947	2,071	91%	3,281	20%	1,797	120%	3,240	22%
Pretax earnings	3,984	2,134	87%	3,633	10%	1,971	102%	3,362	18%
Net income	3,187	1,708	87%	2,999	6%	1,696	88%	2,708	18%
EPS (NT$)	3.77	2.02	87%	3.55	6%	2.01	88%	3.21	18%
Magins (%)									
Gross margin	15.8%	12.0%	3.8%	16.0%	-0.1%	11.3%	4.6%	14.5%	1.4%
Operaing margin	6.9%	3.6%	3.3%	6.6%	0.4%	3.1%	3.8%	5.8%	1.1%
Net margin	5.6%	3.0%	2.6%	6.0%	-0.4%	2.9%	2.7%	4.9%	0.7%

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Source: Company Reports, Citi Research Estimates, Bloomberg consensus

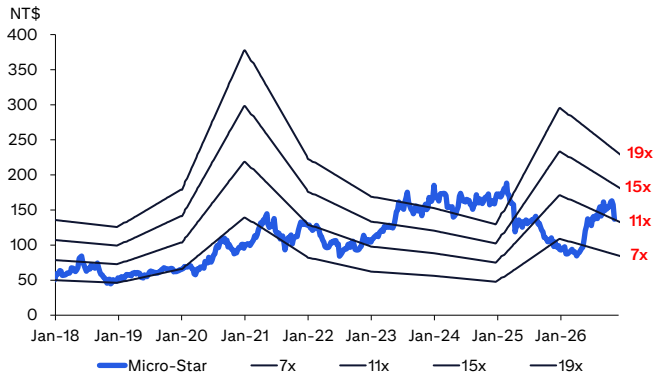
Figure 2. MSI - Earnings estimate revisions

	FY26E			FY27E			FY28E		
NT$mn	New	Old	Chg	New	Old	Chg	New	Old	Chg
Net Sales	224,913	222,500	1.1%	226,776	235,270	-3.6%	227,298	250,044	-9.1%
Gross profit	35,327	28,479	24.0%	32,415	29,163	11.2%	31,451	31,024	1.4%
OPEX	19,820	18,476	7.3%	20,183	19,705	2.4%	20,229	20,756	-2.5%
Operating profit	15,507	10,003	55.0%	12,232	9,458	29.3%	11,222	10,268	9.3%
Pre-tax profit	16,247	10,446	55.5%	12,618	9,796	28.8%	11,651	10,638	9.5%
Net profit	13,201	8,422	56.7%	10,059	7,807	28.8%	9,292	8,478	9.6%
EPS	15.62	9.97	56.7%	11.91	9.24	28.8%	11.00	10.03	9.6%
Ratio	**New**	**Old**	**diff**	**New**	**Old**	**diff**	**New**	**Old**	**diff**
Gross margin (%)	15.71	12.80	2.91	14.29	12.40	1.90	13.84	12.41	1.43
OPEX to Sales ratio(%)	8.81	8.30	0.51	8.90	8.38	0.52	8.90	8.30	0.60
Operating margin (%)	6.89	4.50	2.40	5.39	4.02	1.37	4.94	4.11	0.83
Net margin (%)	5.87	3.78	2.08	4.44	3.32	1.12	4.09	3.39	0.70

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Source: Citi Research Estimates

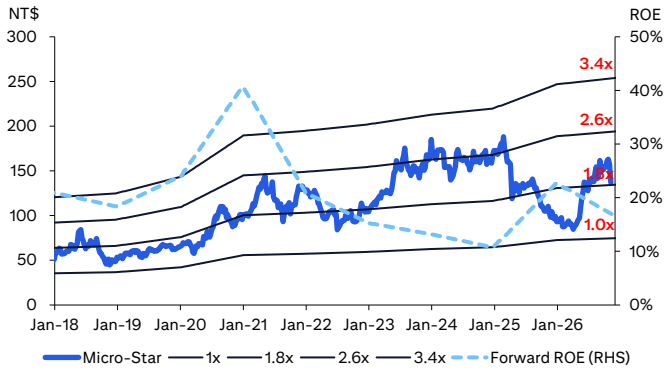
Figure 3. MSI - Forward P/E band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 4. MSI - Forward P/B band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 5. MSI - Quarterly earnings forecasts

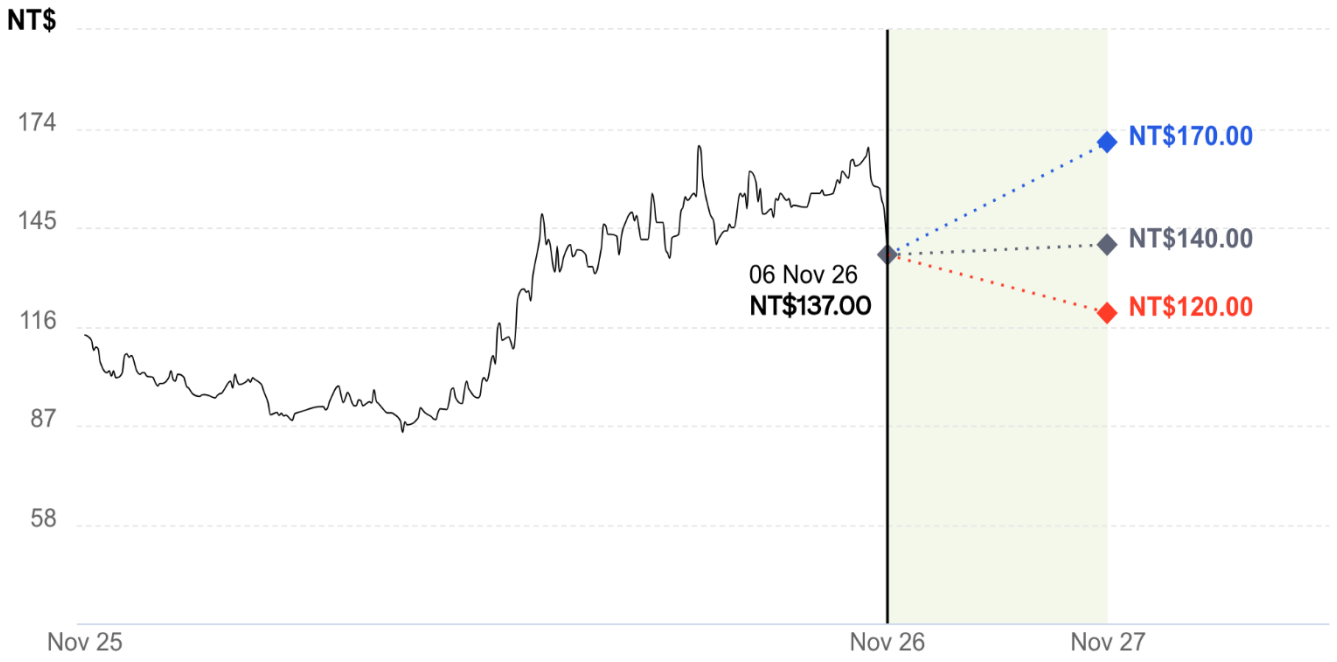
NT$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	56,257	49,913	56,946	61,798	56,813	58,178	58,873	52,912	230,196	224,913	226,776	227,298
Gross profit	**8,441**	**7,969**	**9,015**	**9,903**	**8,278**	**8,508**	**8,276**	**7,354**	**25,213**	**35,327**	**32,415**	**31,451**
OPEX	4,564	4,688	5,068	5,500	5,056	5,178	5,240	4,709	18,824	19,820	20,183	20,229
Operating profit	**3,876**	**3,281**	**3,947**	**4,403**	**3,221**	**3,330**	**3,036**	**2,645**	**6,388**	**15,507**	**12,232**	**11,222**
Total Non-OP	257	352	37	94	88	98	102	97	636	741	386	429
Pre-tax profit	4,133	3,633	3,984	4,497	3,309	3,428	3,138	2,742	7,024	16,247	12,618	11,651
Income tax	717	634	797	899	629	754	628	548	1,276	3,047	2,559	2,358
Net profit	**3,417**	**2,999**	**3,187**	**3,598**	**2,681**	**2,674**	**2,511**	**2,194**	**5,748**	**13,201**	**10,059**	**9,292**
EPS (NT$)	**4.04**	**3.55**	**3.77**	**4.26**	**3.17**	**3.16**	**2.97**	**2.60**	**6.80**	**15.62**	**11.91**	**11.00**
Product mix (%)												
MB	15%	13%	14%	14%	14%	14%	12%	12%	16%	14%	13%	13%
VGA	38%	41%	39%	40%	39%	40%	47%	45%	33%	39%	43%	43%
NB	35%	32%	32%	33%	33%	33%	27%	29%	37%	33%	31%	30%
DT & Accessories	5%	5%	5%	5%	5%	5%	4%	4%	6%	5%	4%	4%
EPS/IPS/ACS	7%	9%	10%	9%	9%	9%	10%	10%	8%	9%	9%	9%
Margins (%)												
Gross profit	**15.0**	**16.0**	**15.8**	**16.0**	**14.6**	**14.6**	**14.1**	**13.9**	**11.0**	**15.7**	**14.3**	**13.8**
OPEX to Sales Ratio	8.1	9.4	8.9	8.9	8.9	8.9	8.9	8.9	8.2	8.8	8.9	8.9
Operating profit	**6.9**	**6.6**	**6.9**	**7.1**	**5.7**	**5.7**	**5.2**	**5.0**	**2.8**	**6.9**	**5.4**	**4.9**
Pre-tax profit	7.3	7.3	7.0	7.3	5.8	5.9	5.3	5.2	3.1	7.2	5.6	5.1
Net profit	**6.1**	**6.0**	**5.6**	**5.8**	**4.7**	**4.6**	**4.3**	**4.1**	**2.5**	**5.9**	**4.4**	**4.1**
Y/Y(%)												
Net sales	5.1	(18.6)	(1.4)	7.3	1.0	16.6	3.4	(14.4)	16.3	(2.3)	0.8	0.2
Gross profit	53.6	16.9	38.7	54.7	(1.9)	6.8	(8.2)	(25.7)	4.2	40.1	(8.2)	(3.0)
OPEX	1.8	(1.3)	7.8	12.5	10.8	10.4	3.4	(14.4)	10.2	5.3	1.8	0.2
Operating profit	283.1	59.0	119.6	190.5	(16.9)	1.5	(23.1)	(39.9)	(10.2)	142.7	(21.1)	(8.3)
Pre-tax profit	222.7	90.2	102.1	141.5	(19.9)	(5.6)	(21.2)	(39.0)	(17.4)	131.3	(22.3)	(7.7)
Net profit	217.2	123.3	87.9	120.5	(21.5)	(10.8)	(21.2)	(39.0)	(15.4)	129.7	(23.8)	(7.6)
Q/Q(%)												
Net sales	(2.3)	(11.3)	14.1	8.5	(8.1)	2.4	1.2	(10.1)				
Gross profit	31.8	(5.6)	13.1	9.8	(16.4)	2.8	(2.7)	(11.1)				
Operating profit	155.8	(15.4)	20.3	11.6	(26.8)	3.4	(8.8)	(12.9)				
Pre-tax profit	122.0	(12.1)	9.7	12.9	(26.4)	3.6	(8.5)	(12.6)				
Net profit	109.4	(12.2)	6.3	12.9	(25.5)	(0.3)	(6.1)	(12.6)				

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Source: Company Reports, Citi Research Estimates

Bull/Bear: Micro-Star (2377.TW)

NT$170.00 ▲24% Upside | NT$140.00 ▲2.2% Upside | NT$120.00 ▼12% Downside



Spread 36pp
Current Price and expected returns (upside/downside) as of 06 Nov 2026

BULL Assumptions

- OPM at 7.5% in 2026E-27E
- Target multiple at 14x

BASE Assumptions

- OPM at 6.9%/5.4%% in 2026E/27E
- Target multiple at 12x

BEAR Assumptions

- OPM at 3% in 2026E-27E
- Target multiple at 10x

Micro-Star

Company description

Established in 1986 and listed in 1998, Taiwan-based MSI is a leading OBM/ODM for gaming PCs, motherboards, graphic cards, industrial PCs, and servers. MSI started business as a motherboard manufacturer but transformed itself to become a leading gaming PC play in 2012 with a comprehensive product portfolio across the gaming system and components. MSI enjoys about 16% global share in the gaming NB industry, and is ranked No.3 in graphic card shipments and No.3 in motherboard shipments globally.

Investment strategy

We rate MSI shares at Neutral as we anticipate earnings upward pressure from the delince in PC and MB/VGA shipments in the near-term. While the soaring component costs could be partially offset by price hike, we expect muted demand and AI resource crowding to wiegh on margins upside. Further upside maintains limited, though, until we see a meaningful recovery in core gaming demand or a more substantial contribution from the server business.

Valuation

Our target price of NT$140 is based on 12x 2027E EPS, below the stock's five-year average forward 12-month PE. This valuation reflects the earnings downside risks from muted PC demand and margin pressure from soaring component costs, while accounting for the time required for the server business to achieve meaningful scale.

Risks

Key upside risks that could cause MSI's shares to trade above our target price include: 1) a sharper-than-expected recovery in high-end gaming demand; and 2) faster-than-anticipated revenue contribution from the AI server segment. Key downside risks include: 1) a deeper-than-expected contraction in global PC shipments; 2) prolonged supply shortages for gaming GPUs due to Ai resource crowding; and 3) inability to pass through surging memory and CPU costs to price-sensitive consumers.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely

with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Micro-Star (2377.TW)
Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



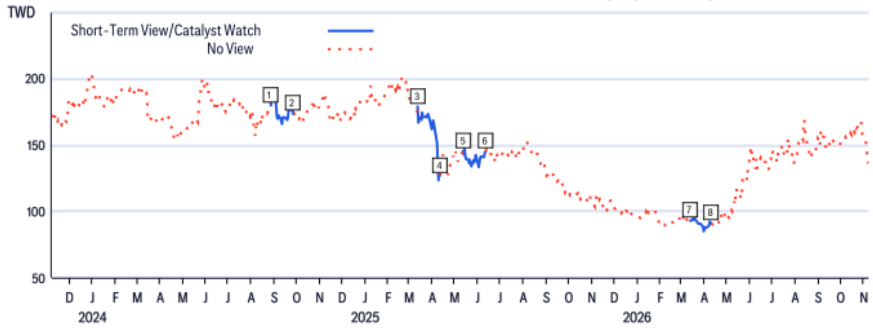
	Date	Rating	Target Price	Closing Price
1	01-Mar-24 02:33:21	1	*215.00	191.00
2	27-Aug-24 09:09:36	1	*235.00	180.00
3	12-Mar-25 08:51:46	1	*210.00	179.00
4	12-May-25 08:46:00	1	*180.00	145.50
5	13-Mar-26 10:21:15	*2	*100.00	92.80
6	22-May-26 03:30:59	2	*118.00	124.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Micro-Star (2377.TW)
Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



	Date	Action	Expected Direction	Duration	Closing Price
1	27-Aug-24 05:09:36	Add STV	Upside	30 Days	180.00
2	26-Sep-24 21:56:15	Remove STV	Upside	30 Days	173.50
3	12-Mar-25 04:51:46	Add STV	Downside	30 Days	179.00
4	11-Apr-25 14:08:08	Remove STV	Downside	30 Days	127.00
5	12-May-25 04:46:00	Add STV	Downside	30 Days	145.50
6	11-Jun-25 21:35:28	Remove STV	Downside	30 Days	145.00
7	13-Mar-26 06:21:15	Add STV	Downside	30 Days	92.80
8	12-Apr-26 21:49:12	Remove STV	Downside	30 Days	90.80

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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